

75 Years of Management Ideas: Where They Came From

Foundations 1950s–1960s

SCARCE THEN: CAPITAL & SCALE

● **Management by objectives; the knowledge worker** Drucker, 1954
Management becomes a discipline; MBO's descendants (OKRs) still run Silicon Valley.

● **Strategy & structure; corporate strategy** Chandler, 1962; Ansoff, 1965
Firms should deliberately match structure to strategy; strategy becomes a field.

● **Behavioral theory of the firm** Simon, Cyert & March, 1958–63
Bounded rationality and satisficing; the root of everything behavioral since.

● **Experience curve; growth-share matrix** Henderson / BCG, 1966–70
Launched strategy consulting; made cost dynamics and portfolios analyzable.

The Economics Turn 1970s–1980s

SCARCE THEN: FAVORABLE MARKET POSITION

● **Transaction cost economics** Williamson, 1975
Why firms exist and where their boundaries belong; the logic of make-vs-buy.

● **Five Forces; generic strategies** Porter, 1979–85
Strategy reframed from planning to positioning; still the most-taught framework.

● **Agency theory** Jensen & Meckling, 1976
Incentive alignment and shareholder value; reshaped governance for three decades.

● **Toyota Production System / lean; TQM** Ohno, Deming, Juran, 1950s→80s
Continuous improvement from the factory floor; academia codified it 30 years later.

The Capabilities Era 1990s

SCARCE THEN: INTERNAL CAPABILITIES

● **Resource-based view; core competence** Barney, 1991; Prahalad & Hamel, 1990
Advantage flips inside-out: valuable, rare, hard-to-imitate resources.

● **Business process reengineering** Hammer & Champy, 1993
Redesign work around processes and IT, not functions; consulting-driven.

● **Balanced scorecard** Kaplan & Norton, 1992
Measurement beyond financials; ancestor of modern KPI architecture.

● **Disruptive innovation** Christensen, 1997
Why well-run incumbents fail; the most influential practitioner-facing idea in 30 years.

Networks & Experimentation 2000s–2010s

SCARCE THEN: SPEED OF LEARNING

● **Agile; lean startup** Manifesto, 2001; Ries, 2011
Strategy as hypothesis testing: build–measure–learn instead of plan-and-execute.

● **Open innovation** Chesbrough, 2003
Value creation across firm boundaries; ecosystems over vertical integration.

● **Two-sided markets; platform strategy** Rochet & Tirole, 2003
Network effects as the core of advantage; the logic of today's most valuable firms.

● **OKRs; people analytics** Grove → Doerr; Google, 2000s
Evidence and experiments displace authority and intuition in the enterprise.

The AI Moment 2020s→

SCARCE NOW: JUDGMENT ABOUT WHAT TO BUILD

● **AI-augmented knowledge work** 2023→
Doing to analysis and building what lean did to manufacturing; practice is again ahead.

● **The open theoretical question** this room, 2026
What is the theory of the firm when anyone can build? Whose idea will explain this era?

The through-line: each era's dominant idea tracks what was scarce at the time. The academy has owned the retrospective "why"; practice has owned the operational "how," traveling through consultants and trade books rather than peer review. The question for this workshop: which side explains the AI era first?

The Consultant's OS (MC 17785) · When Anyone Can Build (TIM 17524)
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